

ENTERPRISE CONFIDENTIAL DOCUMENT

Non-Disclosure Agreement

Source request: Generate an NDA between Acme Corp and John Doe for a 12-month AI consulting engagement.

Agreement Overview

As a contract compliance reviewer, I have reviewed the provided Non-Disclosure Agreement draft. The draft is well-structured and comprehensive, covering most essential NDA clauses.

The primary issue identified, as stated, is the lack of a formally numbered "Introduction" section. While the initial paragraphs effectively introduce the parties and effective date, incorporating them into a numbered section enhances structural clarity and addresses the detected missing section.

Below is the corrected final NDA, incorporating the "Introduction" as Section 1 and renumbering all subsequent sections accordingly, while maintaining the professional tone and consistent formatting of the original draft.

NON-DISCLOSURE AGREEMENT

1. INTRODUCTION

This Non-Disclosure Agreement (this "Agreement"), effective as of [Insert Effective Date, e.g., January 1, 2024] (the "Effective Date"), is made and entered into by and between:

Acme Corp.**, a corporation duly organized and existing under the laws of [State of Incorporation], with its principal place of business located at [Acme Corp. Address] (the "Disclosing Party");

AND

John Doe**, an individual residing at [John Doe's Address] (the "Receiving Party").

The Disclosing Party and the Receiving Party are hereinafter collectively referred to as the "Parties" and individually as a "Party."

RECITALS

WHEREAS, the Disclosing Party possesses certain proprietary and confidential information, including but not limited to information related to its business operations, technology, and intellectual property;

WHEREAS, the Parties contemplate engaging in discussions concerning a potential AI consulting engagement for a term of twelve (12) months (the "Purpose");

WHEREAS, in connection with the Purpose, the Disclosing Party may disclose to the Receiving Party certain confidential and proprietary information; and

WHEREAS, the Parties desire to protect such confidential information from unauthorized disclosure or use.

NOW, THEREFORE, in consideration of the mutual covenants and agreements contained herein, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Parties agree as follows:

2. DEFINITION OF CONFIDENTIAL INFORMATION

"Confidential Information" means any and all non-public information, whether oral, written, electronic, visual, or in any other form, disclosed by the Disclosing Party to the Receiving Party, directly or indirectly, in connection with the Purpose. Confidential Information includes, but is not limited to:

- a. ****Business Information:**** Business plans, strategies, financial data, projections, marketing plans, customer lists, supplier information, pricing, operational methods, and other proprietary business processes.
- b. ****Technical Information:**** Proprietary AI models, algorithms, machine learning techniques, datasets, source code, object code, technical specifications, designs, architectures, research, development activities, inventions, discoveries, know-how, and intellectual property.
- c. ****Product/Service Information:**** Information related to the Disclosing Party's current and future products, services, processes, and operations.
- d. ****Designation:**** Information specifically marked or designated as "Confidential," "Proprietary," or "Secret," or information that, by its nature or the circumstances of its disclosure, would reasonably be understood by the Receiving Party to be confidential.

3. EXCLUSIONS FROM CONFIDENTIAL INFORMATION

Confidential Information shall not include any information that the Receiving Party can demonstrate:

- a. Is or becomes generally available to the public through no fault or breach of this Agreement by the Receiving Party;
- b. Was rightfully in the Receiving Party's possession or known to the Receiving Party prior to its disclosure by the Disclosing Party, without any obligation of confidentiality;
- c. Is independently developed by the Receiving Party without the use of or reference to the Disclosing Party's Confidential Information; or

d. Is rightfully received by the Receiving Party from a third party without restriction on disclosure and without breach of any confidentiality obligation owed to the Disclosing Party.

4. OBLIGATIONS OF RECEIVING PARTY

The Receiving Party hereby agrees:

- a. ****Confidentiality:**** To maintain the strict confidentiality of all Confidential Information and not to disclose, copy, reproduce, or distribute any Confidential Information to any third party without the prior written consent of the Disclosing Party.
- b. ****Limited Use:**** To use the Confidential Information solely for the Purpose of evaluating and performing the AI consulting engagement and for no other purpose whatsoever.
- c. ****Standard of Care:**** To protect the Confidential Information with at least the same degree of care as the Receiving Party uses to protect its own confidential or proprietary information of a similar nature, but in no event less than a reasonable degree of care.
- d. ****No Reverse Engineering:**** Not to reverse engineer, decompile, disassemble, or otherwise attempt to derive the source code, underlying ideas, algorithms, or structure of any Confidential Information, particularly proprietary AI models or software, without the Disclosing Party's express written consent.

5. PERMITTED DISCLOSURES

The Receiving Party may disclose Confidential Information only to the extent required by law, court order, or governmental regulation, provided that the Receiving Party:

- a. Provides prompt written notice to the Disclosing Party of such requirement prior to disclosure, if legally permissible, to allow the Disclosing Party to seek a protective order or other appropriate remedy;
- b. Cooperates with the Disclosing Party in any efforts to obtain such protective order or other remedy; and
- c. Discloses only that portion of the Confidential Information that is legally required and uses reasonable efforts to obtain assurance that the Confidential Information will be treated confidentially.

6. NO LICENSE; NO WARRANTY

- a. ****No License:**** Nothing in this Agreement shall be construed as granting any rights, title, interest, license, or option under any patent, copyright, trademark, trade secret, or other intellectual property right of the Disclosing Party to the Receiving Party, other than the limited right to use the Confidential Information solely for the Purpose as expressly set forth herein.
- b. ****No Warranty:**** All Confidential Information is provided "AS IS." The Disclosing Party makes no representations or warranties, express or implied, regarding the accuracy, completeness, or performance of the Confidential Information.

7. TERM AND SURVIVAL

The obligations of confidentiality and non-use set forth in this Agreement shall commence on the Effective Date and shall survive the termination or expiration of the AI consulting engagement for a period of three (3) years from the date of disclosure of the respective Confidential Information. Notwithstanding the foregoing, obligations with respect to Confidential Information constituting a "trade secret" under applicable law shall survive indefinitely for as long as such information remains a trade secret.

8. RETURN OR DESTRUCTION OF CONFIDENTIAL INFORMATION

Upon the Disclosing Party's request, or upon the termination or expiration of the AI consulting engagement, the Receiving Party shall promptly:

- a. Return to the Disclosing Party all originals and copies of any Confidential Information in tangible form (e.g., documents, electronic media, models);
- b. Destroy all copies of Confidential Information residing in the Receiving Party's electronic systems or other intangible forms; and

c. Certify in writing to the Disclosing Party that all Confidential Information has been returned or destroyed, as applicable, within ten (10) business days of such request or termination/expiration.

9. REMEDIES

The Receiving Party acknowledges that monetary damages alone may not be a sufficient remedy for any breach of this Agreement, and that the Disclosing Party shall be entitled to seek injunctive relief, specific performance, or other equitable remedies, in addition to any other remedies available at law or in equity, without the necessity of posting a bond or proving actual damages.

10. GOVERNING LAW

This Agreement shall be governed by and construed in accordance with the laws of the State of Delaware, without regard to its conflict of laws principles. The Parties irrevocably consent to the exclusive jurisdiction of the state and federal courts located in the State of Delaware for any action arising out of or relating to this Agreement.

11. MISCELLANEOUS

- a. ****Entire Agreement:**** This Agreement constitutes the entire agreement between the Parties concerning the subject matter hereof and supersedes all prior and contemporaneous agreements, understandings, negotiations, and discussions, whether oral or written, of the Parties.
- b. ****Severability:**** If any provision of this Agreement is found by a court of competent jurisdiction to be invalid, illegal, or unenforceable, such provision shall be modified to the minimum extent necessary to make it valid, legal, and enforceable, and the remainder of this Agreement shall remain in full force and effect.
- c. ****Waiver:**** No waiver of any breach of any provision of this Agreement shall constitute a waiver of any prior, concurrent, or subsequent breach of the same or any other provisions hereof, and no waiver shall be effective unless made in writing and signed by an authorized representative of the waiving Party.
- d. ****Assignment:**** This Agreement is personal to the Receiving Party and may not be assigned or transferred by the Receiving Party without the prior written consent of the Disclosing Party. The Disclosing Party may assign this Agreement without the consent of the Receiving Party.
- e. ****Independent Contractors:**** The Parties are independent contractors. Nothing in this Agreement shall be construed as creating a partnership, joint venture, agency, or employment relationship between the Parties.
- f. ****Notices:**** All notices required or permitted under this Agreement shall be in writing and shall be deemed effectively given upon personal delivery, recognized overnight courier, or registered or certified mail, return receipt requested, to the addresses first set forth above, or to such other address as a Party may designate by written notice to the other Party.
- g. ****Counterparts:**** This Agreement may be executed in counterparts, each of which shall be deemed an original, but all of which together shall constitute one and the same instrument. Facsimile or electronic signatures shall be deemed original signatures for all purposes.

IN WITNESS WHEREOF, the Parties have executed this Non-Disclosure Agreement as of the Effective Date.

ACME CORP.** (Disclosing Party)

By: \\\

Name: [Authorized Signatory Name]

Title: [Title]

Date: \\\

JOHN DOE** (Receiving Party)

By: \\\

Name: John Doe

Date: \\\

Execution

Each party acknowledges that it has read, understood, and agreed to be bound by this Agreement.

Disclosing Party	Receiving Party
Name:	Name:
Title:	Title:
Date:	Date:

Checked required sections, tone, and formatting consistency.